Graphic Era HILL UNIVERSITY

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GEHU/03E/9.1.3

MBA (Trimester-II) Regular Examination February 2026

Roll no.................................

Name of the Course and semester:MBA IInd Trimester
Name of the Paper: Financial Management
Paper Code: MBA 203

Time: 3 hour | Maximum Marks: 100

Note:

(i) This question paper contains two Sections-Section A and B
(ii) Both Sections are compulsory
(iii) Answer any two sub questions from a, b & c in each main question of Section A. Each sub question carries 10 marks.
(iv) Section B, consisting of a case study, is compulsory. It is of 40 Marks.

Section A

Q1	(2X10=20 Marks)	COs
a)	Why is profit maximisation often seen as a limited objective for today's businesses? Use the areas of risk, timing of returns, and shareholder expectations as a point of reference for the discussion.	CO1/CO2
b)	On 1st January 2025, Mr. X purchases a machine from a manufacturing company. Instead of paying the whole amount at once, the buyer and the seller agree that the buyer will pay the cost of the machine in 10 equal annual instalments of 12, 000 each, payable at the end of every year. The company's rate of interest is 15% per annum compounded annually, and each instalment takes into account both the principal and the interest. Assuming the first instalment is at the end of the first year and the last one at the end of the tenth year, find the present value (cash price) of the machine on 1st January 2025.	CO4/CO5
c)	How important is the role of a CFO in a company, in financial decision making?	CO1/CO2
Q2	(2X10=20 Marks)	
a)	A firm is considering a project which will need a first outlay of 4,00,000. It is predicted that the project will yield net cash of 1,20,000 annually for a period of 5 years. The required rate of return is 10% yearly. The board members think that the company will be given the option to go on with the project for the last 3 years if the market is favourable after 2 years of running the project. Otherwise, they will end the project after 2 years. Calculate the NPV of the project assuming cash flows for all 5 years. Also, calculate the NPV considering that the project will continue beyond Year 2 only if it is profitable. Present Value factors at 10%: Year 1 = 0.909, Year 2 = 0.826, Year 3 = 0.751, Year 4 = 0.683 and Year 5 = 0.621	CO4/CO5

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b)	Financial ratios often face criticism as being unproductive after the fact and vulnerable to various kinds of accounting manipulations. Critically evaluate the limitations of ratio analysis using examples from corporate failures.	CO5
c)	A company has the following financial information for the current year: EBIT = ₹8,00,000 Tax rate = 30% Depreciation = ₹1,00,000 Capital Expenditure = ₹2,50,000 Increase in Working Capital = ₹50,000 Weighted Average Cost of Capital (WACC) = 12% Growth rate = 4% Calculate Free Cash Flow to Firm (FCFF) and value of the firm using the constant growth model.	CO4/CO5
Q3	**(2X10=20 Marks)**	
a)	A company has recently disbursed dividend at the rate of 5 per share. Dividends are anticipated to increase at a steady pace of 6% per annum. The current market price of the share is 100. Calculate next year's expected dividend and cost of equity using the Dividend Discount Model (Gordon Growth Model).	CO4/CO5
b)	Define corporate restructuring and explain in detail the following methods of restructuring: a) Share Buybacks b) Spin-offs c) Leveraged Buyouts (LBOs) d) Management Buyouts (MBOs)	CO1
c)	Discuss how excessive or inadequate working capital affects liquidity, profitability, and risk. Explain the consequences of over-capitalization and under-capitalization.	CO1/CO2

Section B

Note For the question paper setters:
- Question paper should cover all the COs of the course.
- Please specify COs against each question.

Q4. Case Study	(40 Marks)	COs

MBA (Trimester-II) Regular Examination February 2026

	ABC Ltd., a medium, sized engineering company, is considering expansion of its production capacity. The finance manager has identified three alternative investment proposals Project Alpha, Project Beta, and Project Gamma. But due to lack of funds, the company will be able to do only one of these projects. Each project requires a first investment of 5,00,000, which is to be paid immediately. The anticipated useful life of each project is four years, and the projects will have no salvage value at the end of their life. The projects show different cash inflow patterns: 1. Project Alpha would generate fairly steady cash flows in the beginning years. The cash inflows of 2,00,000 and 2,00,000 in the first two years respectively have been planned. Nevertheless, with increased competition, the cash flows are likely to decrease to 1,50,000 in the third year and 1,00,000 in the fourth year. 2. Project Beta is projected to have lower returns at the start but a much stronger performance in the later years. The first, year inflow is estimated to be 1,00,000, and the following year 1,50,000. It is expected that the inflows in the third and fourth years will go up dramatically to 2,50,000 and 3,00,000 respectively. 3. Project Gamma is likely to get off to a flying start where sales would be very strong in the first two years, thus bringing in 3,00,000 and 2,00,000 respectively. However, due to the rapid technological changes, the inflows will be reduced to 1,00,000 in the third year and 50, 000 in the fourth year. The company's cost of capital is 10% per annum. On the basis of above information, calculate: 1. Net Present Value (NPV) of each project. 2. Internal Rate of Return (IRR) for each project (approximate value is sufficient). 3. Rank the projects based on NPV and IRR. In case of conflicting rankings, advise the management which project should be selected and justify your answer.	CO3/ CO4/ CO5/ CO6